Key Call: Tencent Holdings

Core strength meets AI-driven upside

Time to revisit Tencent

Tencent's stock has declined 13% YTD, underperforming HSTech/HSI's -4%/+4%. We attribute the weakness to: 1) VAT hike concerns following China telecoms (despite denials from state media Xinhua News), 2) heightened regulatory scrutiny (particularly on food delivery platforms and Trip.com, which we do not view as a broad sector concern), 3) AI disruptions, and 4) Tencent's potential lag in the AI competition. Currently trading at 14x 2026E P/E (near historical low; Figure 1), we think most of the downside risk is already priced in. In this report, we lay out Tencent's recent positive developments in AI initiatives and games, which we think the street may be overlooking. We reaffirm Tencent as a Key Call and our sector top pick.

AI: Addressing concerns on AI's impact on competition, games and margins

AI competition and progress: Amid China internet giants' CNY red-packet campaigns, investors have been concerned about Yuanbao's recent lag in downloads and WAU (Figure 2). We think key factors for achieving AI success are the integration of high-quality models, a robust user base, and extensive data. We see Weixin's exclusive edge (1.4bn users, with diverse application scenarios across social, commerce and content, and a vibrant Mini Programs ecosystem) as difficult to replicate. As long as Tencent's LLM remains within tier 1, and it has already taken significant steps to enhance its proprietary model capability (CL-bench focusing on context learning, to address practical, real-world problems; recruited top AI experts and reorganized AI divisions in late 2025), we believe Tencent retains strong potential for success in agentic AI. Additionally, the success of OpenClaw (the integration of social and transactional platforms) should provide a compelling case for Tencent's ability to capitalize on its Weixin ecosystem in agentic AI.

Games: We believe Genie 2 helps simplify 3D environment creation via image prompts for game developers, but these likely fall short of the quality of professional-grade titles (on content, IP, community engagement, gameplay, and social features). Rather than posing risks, we see AI as an enabler for online games, where Tencent has already extensively incorporated AI into game development (see our note from Tencent's game event). **Margins**: Despite market concerns on a potential margin drag from AI investment (consensus is for flattish 2026 margins), we think Tencent's undemanding 14x 2026E P/E offers some downside protection against potential earnings volatility. Even if we were to assume higher AI investments, we think the market could react positively given Tencent mgmt's track record on ROI-focused investment.

Equities

China
Internet Services

12-month rating	**Buy**
12m price target	**HK$780.00**
Price (27 Feb 2026)	**HK$518.00**
RIC: 0700.HK **BBG:** 700 HK	

Trading data and key metrics

52-wk range	HK$677.50-435.40
Market cap.	HK$4,809b/US$615b
Shares o/s	9,284m (ORD)
Free float	66%
Avg. daily volume ('000)	22,158
Avg. daily value (m)	HK$12,993.4
Common s/h equity (12/25E)	Rmb1118b
P/BV (12/25E)	3.8x
Net debt to EBITDA (12/25E)	NM

EPS (UBS, diluted) (Rmb)

	UBS	Cons.
12/25E	28.44	28.01
12/26E	32.78	31.62
12/27E	36.62	35.34

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Highlights (Rmbm)	12/22	12/23	12/24	12/25E	12/26E	12/27E	12/28E	12/29E
Revenues	554,552	609,015	660,257	752,779	841,826	923,203	999,869	1,081,929
EBIT (UBS)	151,795	205,694	253,815	295,629	341,334	380,593	417,298	457,186
Net earnings (UBS)	115,649	157,688	222,703	260,892	297,643	332,520	365,450	401,232
EPS (UBS, diluted) (Rmb)	11.93	16.41	23.67	28.44	32.78	36.62	40.24	44.18
DPS (net) (Rmb)	2.39	3.46	4.57	5.49	6.32	7.07	7.76	8.53
Net (debt) / cash	(70,065)	13,503	(9,785)	112,594	263,335	441,022	647,690	893,984
Profitability/valuation	**12/22**	**12/23**	**12/24**	**12/25E**	**12/26E**	**12/27E**	**12/28E**	**12/29E**
EBIT (UBS) margin %	27.4	33.8	38.4	39.3	40.5	41.2	41.7	42.3
ROIC (EBIT) %	25.3	34.3	37.2	38.4	44.1	49.0	53.7	59.5
EV/EBITDA (UBS core) x	12.3	10.1	9.3	11.0	9.3	8.3	7.5	6.8
P/E (UBS, diluted) x	24.7	18.5	14.0	16.8	13.9	12.4	11.3	10.3
Equity FCF (UBS) yield %	3.5	6.2	5.5	5.7	6.5	7.3	8.2	9.2
Dividend yield (net) %	0.8	1.1	1.4	1.2	1.4	1.6	1.7	1.9

Source: Company accounts, LSEG Eikon, UBS estimates. Metrics marked as (UBS) have had analyst adjustments applied. Valuations: based on an average share price that year, (E): based on a share price of HK$ 518.00 on 27-Feb-2026

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Games: Solid yet underappreciated performance

According to Sensor Tower, Tencent games represent 8 of China's top 10 domestic titles QTD (Figure 4), particularly during the peak CNY season. **Solid flagship games performance**: Honor of Kings (HoK) maintained its leading position, while PeaceKeeper Elite (PKE) demonstrated robust momentum following its CNY update with the "Silk Road Dunhuang" map. PKE topped domestic online game rankings from Feb 7-11, and achieved a record-breaking DAU of 90m on CNY Eve (Feb 16). We think this should help to ease market concerns regarding PKE's weaker performance in 4Q25. **Emerging titles gaining traction**: With grossing momentum accelerating since 2H25, we expect Delta Force (4Q25 Rmb10bn, vs 2025 Rmb20bn) and Valorant mobile (launched in Aug-25) to offer high margin growth visibility into 2026 (UBS-e teens % growth). **Promising pipeline as catalyst** (Figure 6): All in all, we see potential upside to Tencent's domestic games revenue growth in 2026 (consensus +9%; UBS-e +13%).

Valuation: Reiterate as Key Call and our sector top pick

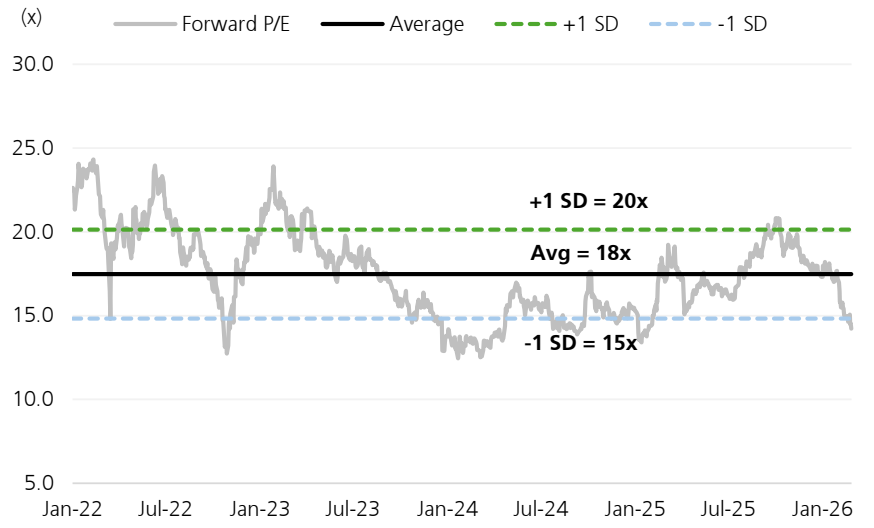
Key potential share catalysts ahead include updates on management's AI strategy in the upcoming earnings release (18 March) and a potentially stronger-than-expected games performance. Reiterate Tencent as a Key Call and our top pick. Our SOTP-based PT implies 21x 2026E P/E.

Time to revisit Tencent

Tencent stock has declined -13% YTD, underperforming the HSTech/HSI's -4%/+4%. We attribute this weakness to: 1) concerns regarding a sector-wide VAT issue following China telecoms (despite denials from state media Xinhua News), 2) heightened regulatory scrutiny on internet firms, particularly on food delivery platforms and Trip.com (which we do not view as a broad sector concern), 3) disruptions from AI advancements, with the Genie 2 launch negatively impacting gaming stocks, and 4) Tencent potentially falling behind in the ongoing AI competition among major internet companies.

Currently trading at 14x 2026E P/E (near historical low; Figure 1), Tencent stock appears to have already reflected significant downside risks, in our view. We think the market may be overlooking recent positive developments, such as progress in AI initiatives and strong game performance. We see a compelling risk-reward profile and reaffirm the stock as a Key Call and our sector top pick.

Figure 1: Tencent 12-month rolling forward P/E

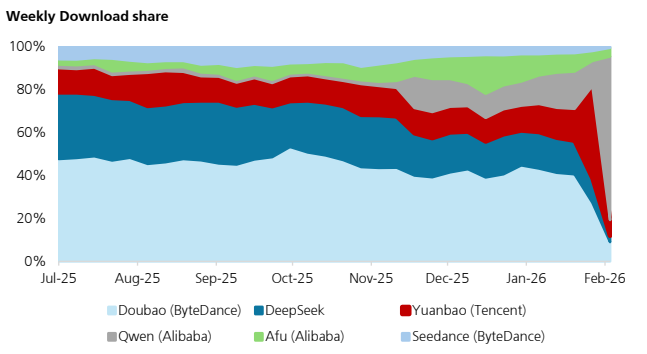


Source: Refinitiv Datastream, UBS estimates

AI: Addressing concerns about AI's impact on competition, games and margins

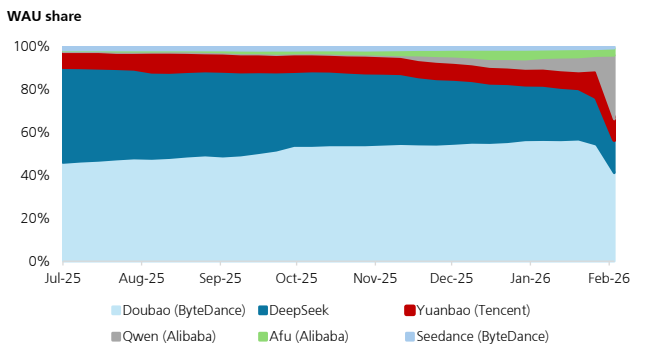
AI competition and progress: As internet companies ramp up their CNY red-packet campaigns to acquire users, the market has raised concerns regarding Yuanbao's recent lag in downloads/user base (Figure 2), which could challenge Tencent's leading position as a dominant traffic gateway. However, we believe the ramp up of Yuanbao should have less direct implications for Tencent's agentic AI progress. Instead, we think it may serve as a testing ground to evaluate user behavior and AI use cases, with the real agentic AI potential expected to reside within Weixin.

Figure 2: Weekly download share of major AI apps in China



Source: QuestMobile, UBS

Figure 3: Weekly Active Users (WAU) share of major AI apps in China



Source: QuestMobile, UBS

Weixin retains an exclusive edge. We think critical factors for succeeding in AI include the integration of high-quality models, a robust user base, and extensive data. Although Tencent trails peers in terms of model development, it holds unique competitive advantages in Weixin's extensive user base (1.4 billion, nearly the entire Chinese population), diverse application scenarios (including social, commerce, and content), and its thriving Mini Programs ecosystem (cRmb8trn GMV with 10m+ merchants), each of which would be difficult to replicate, in our view. As long as Tencent's LLM remains competitive within tier 1 relative to peers, we believe the company is well positioned to succeed in the agentic AI domain.

Indeed, in late 2025, Tencent took significant steps to enhance the capabilities of its proprietary model by recruiting top AI experts and reorganizing its AI divisions. Rather than striving to lead model rankings, Tencent has focused on advancing context learning under CL-bench, which aims to leverage AI for addressing practical, real-world problems. Additionally, the success of OpenClaw (the integration of social and transactional platforms) provides a compelling case for how Tencent can capitalize on its Weixin ecosystem to secure a dominant position in the agentic AI space.

Games: Genie 2 lowers the hurdles for game developers by facilitating the generation of interactive 3D environments using image prompts. However, we anticipate that the output quality will likely fall short of professional-grade titles, which are driven by factors such as content, IP, community engagement, gameplay, and social features, among others. Rather than posing a risk, we think AI should be viewed as an enabler for the gaming sector. Tencent has already incorporated AI extensively into its game development processes, utilizing it to expedite content creation, evaluate game modes, and optimize monetization opportunities and further strengthen its lead vs peers (see our note from Tencent's game event sharing).

Margin: In recent years, Tencent has expanded margins on operating efficiency and revenue mix shift. However, a potential margin drag from AI investment is a key investor concern. At present, consensus is for flattish margins for 2026 as margin accretive drivers (eg, self-developed and PC games like Delta Force, Video Accounts and Search) are likely offset by AI investment, which we think is reasonable. But even if we were to assume higher AI investments, we believe the market could react positively given Tencent management's track record of ROI-focused investment. Furthermore, its current valuation of 14x 2026E P/E should already provide a cushion against potential earnings volatility, in our view.

Games: Solid yet underappreciated performance

According to Sensor Tower, Tencent games represent 8 of China's top 10 domestic titles QTD (Figure 4), particularly during the peak CNY season. **Solid flagship games performance**: Honor of Kings (HoK) maintained its leading position while PeaceKeeper Elite (PKE) demonstrated robust momentum following its CNY update, which introduced the "Silk Road Dunhuang" map and topped domestic game rankings from Feb 7-11. On CNY Eve (Feb 16), PKE achieved a record-breaking DAU of 90m, with 58m

users engaging with its UGC ecosystem, Oasis World (绿洲启元). We believe PKE's resurgence underscores the game's growth potential and longevity, as well as the broader sustainability of the FPS (first-person shooter) genre in China. This may ease some market concerns regarding PKE's weaker performance in 4Q25.

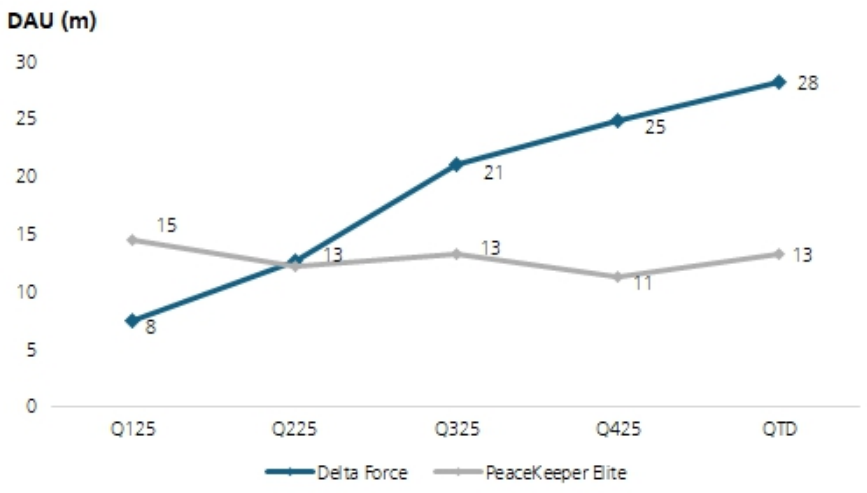
Figure 4: Top 10 China domestic game rankings

	3Q25			4Q25			QTD		
Rank	Game	QoQ chg	Company	Game	QoQ chg	Company	Game	QoQ chg	Company
1	**Honor of Kings**	0	**Tencent**	**Honor of Kings**	0	**Tencent**	**Honor of Kings**	0	**Tencent**
2	**Peacekeeper Elite**	0	**Tencent**	**Delta Force**	1	**Tencent**	**Peacekeeper Elite**	3	**Tencent**
3	**Delta Force**	5	**Tencent**	**TFT: Teamfight Tactics**	2	**Tencent**	**Delta Force**	-1	**Tencent**
4	Whiteout Survival	-1	Century Games	Whiteout Survival	0	Century Games	**TFT: Teamfight Tactics**	-1	**Tencent**
5	**TFT: Teamfight Tactics**	-1	**Tencent**	**Peacekeeper Elite**	-3	**Tencent**	**Valorant Mobile**	4	**Tencent**
6	**Dungeon & Fighter**	-1	**Tencent**	**Dungeon & Fighter**	0	**Tencent**	Whiteout Survival	-2	Century Games
7	**CrossFire**	7	**Tencent**	Fantasy Westward Journey	1	NetEase	**Naruto**	8	**Tencent**
8	Fantasy Westward Journey	-1	NetEase	Love and Deepspace	1	Papergames	Fantasy Westward Journey	-1	NetEase
9	Love and Deepspace	-3	Papergames	**Valorant Mobile**	10	**Tencent**	**Dungeon & Fighter**	-3	**Tencent**
10	**League of Legends: Wild Rift**	2	**Tencent**	**League of Legends: Wild Rift**	0	**Tencent**	**CrossFire**	1	**Tencent**

Source: SensorTower, UBS. Data as of 23 Feb 2025.

Emerging titles gaining traction: With grossing momentum accelerated since 2H25, we expect Delta Force (4Q25's Rmb10bn; vs 2025's Rmb20bn) and Valorant mobile (launched in Aug-25) to offer high margin growth visibility into 2026. We estimate these two games will contribute teens % growth for 2026.

Figure 5: Average DAU of PKE and Delta Force



Source: QuestMobile, UBS

Promising pipeline as potential catalysts: Tencent's games pipeline includes Assault Fire (released in Jan), HoK World (UBS-e annualized grossing at Rmb10bn; expected in spring 2026), Roco Kingdom (26 Mar 2026), The Hidden Ones (UBS-e 2Q26), and Monster Hunter: Outlanders (UBS-e 1H26). All in all, we see potential upside to Tencent's domestic games revenue growth in 2026 (consensus +9%; UBS-e +13%).

Figure 6: Tencent's games pipeline

Title	Expected release date	Annualized grossing estimate (Rmb bn)
Assault Fire: Future	13-Jan-26	3
Honor of Kings: World	Spring 2026	10
Roco Kingdom	26-Mar-26	2-3
The Hidden Ones	2Q26 (UBSe)	2-3
Monster Hunter: Outlanders	1H26 (UBSe)	2-3

Source: Company data, UBS estimates

Tencent Holdings (0700.HK)

Income Statement (Rmbm)	12/22	12/23	12/24	12/25E	%ch	12/26E	%ch	12/27E	12/28E	12/29E
Revenues	**554,552**	**609,015**	**660,257**	**752,779**	14.0	**841,826**	11.8	**923,203**	**999,869**	**1,081,929**
Gross profit	238,746	293,109	349,246	422,700	21.0	475,329	12.5	523,304	568,381	616,743
EBITDA (UBS)	**213,011**	**264,702**	**310,028**	**357,526**	15.3	**405,961**	13.5	**450,365**	**494,539**	**546,095**
Depreciation & amortisation	(61,216)	(59,008)	(56,213)	(61,897)	-10.1	(64,626)	-4.4	(69,772)	(77,241)	(88,909)
EBIT (UBS)	**151,795**	**205,694**	**253,815**	**295,629**	16.5	**341,334**	15.5	**380,593**	**417,298**	**457,186**
Associates & investment income	(16,129)	5,800	25,176	21,876	-13.1	27,640	26.3	30,404	33,445	36,789
Other non-operating income	11,317	4,570	3,105	8,693	180.0	3,610	-58.5	3,793	3,908	4,006
Net interest	(9,352)	(12,268)	(11,981)	(15,313)	-27.8	(15,238)	0.5	(15,238)	(15,238)	(15,238)
Exceptionals (incl goodwill)	0	0	0	0	-	0	-	0	0	0
Pre-tax profit	**137,631**	**203,796**	**270,115**	**310,885**	15.1	**357,347**	14.9	**399,552**	**439,413**	**482,744**
Tax	(21,516)	(43,276)	(45,018)	(44,269)	1.7	(52,294)	-18.1	(58,713)	(64,783)	(71,395)
Profit after tax	**116,115**	**160,520**	**225,097**	**266,616**	18.4	**305,053**	14.4	**340,840**	**374,630**	**411,349**
Preference dividends	0	0	0	0	-	0	-	0	0	0
Minorities	(466)	(2,832)	(2,394)	(5,724)	-139.1	(7,410)	-29.5	(8,319)	(9,180)	(10,117)
Extraordinary items	72,594	(42,472)	(28,630)	(38,710)	-35.2	(39,186)	-1.2	(42,338)	(45,265)	(48,366)
Net earnings (local GAAP)	**188,243**	**115,216**	**194,073**	**222,182**	14.5	**258,457**	16.3	**290,182**	**320,185**	**352,866**
Net earnings (UBS)	**115,649**	**157,688**	**222,703**	**260,892**	17.1	**297,643**	14.1	**332,520**	**365,450**	**401,232**
Tax rate (%)	15.6	21.2	16.7	14.2	-14.6	14.6	2.8	14.7	14.7	14.8

Per Share (Rmb)	12/22	12/23	12/24	12/25E	%ch	12/26E	%ch	12/27E	12/28E	12/29E
EPS (UBS, diluted)	11.93	16.41	23.67	28.44	20.2	32.78	15.2	36.62	40.24	44.18
EPS (local GAAP, diluted)	19.42	11.99	20.63	24.22	17.4	28.46	17.5	31.95	35.26	38.86
EPS (UBS, basic)	12.14	16.68	24.03	28.87	20.2	33.27	15.2	37.17	40.85	44.85
DPS (net) (Rmb)	2.39	3.46	4.57	5.49	20.2	6.32	15.2	7.07	7.76	8.53
Cash EPS (UBS, diluted) [1]	18.24	22.55	29.65	35.19	18.7	39.89	13.4	44.30	48.75	53.97
Book value per share	77.33	86.68	104.86	123.74	18.0	144.46	16.7	167.05	192.58	221.41
Average shares (diluted)	9,695	9,610	9,408	9,173	-2.5	9,081	-1.0	9,081	9,081	9,081

Balance Sheet (Rmbm)	12/22	12/23	12/24	12/25E	%ch	12/26E	%ch	12/27E	12/28E	12/29E
Cash and equivalents	264,298	362,121	328,830	451,209	37.2	601,950	33.4	779,637	986,305	1,232,599
Other current assets	301,691	156,325	167,350	166,393	-0.6	164,955	-0.9	162,843	160,333	158,063
Total current assets	**565,989**	**518,446**	**496,180**	**617,602**	24.5	**766,905**	24.2	**942,480**	**1,146,638**	**1,390,662**
Net tangible fixed assets	53,978	53,232	80,185	127,398	58.9	188,149	47.7	252,072	316,685	378,694
Net intangible fixed assets	161,802	177,727	196,127	190,008	-3.1	186,331	-1.9	184,743	184,956	186,737
Investments / other assets	796,362	827,841	1,008,503	1,030,379	2.2	1,058,020	2.7	1,088,424	1,121,869	1,158,658
Total assets	**1,578,131**	**1,577,246**	**1,780,995**	**1,965,388**	10.4	**2,199,405**	11.9	**2,467,719**	**2,770,148**	**3,114,751**
Trade payables & other ST liabilities	412,178	296,459	335,401	369,349	10.1	421,744	14.2	479,634	544,480	621,042
Short term debt	22,026	55,698	61,508	61,508	0.0	61,508	0.0	61,508	61,508	61,508
Total current liabilities	**434,204**	**352,157**	**396,909**	**430,857**	8.6	**483,252**	12.2	**541,142**	**605,988**	**682,550**
Long term debt	312,337	292,920	277,107	277,107	0.0	277,107	0.0	277,107	277,107	277,107
Other long term liabilities	48,730	58,488	53,083	53,083	0.0	53,083	0.0	53,083	53,083	53,083
Preferred shares	0	0	0	0	-	0	-	0	0	0
Total liabilities (incl pref shares)	**795,271**	**703,565**	**727,099**	**761,047**	4.7	**813,442**	6.9	**871,332**	**936,178**	**1,012,740**
Common s/h equity	**721,391**	**808,591**	**973,548**	**1,118,269**	14.9	**1,292,482**	15.6	**1,494,585**	**1,722,988**	**1,980,913**
Minority interests	61,469	65,090	80,348	86,072	7.1	93,482	8.6	101,801	110,981	121,097
Total liabilities & equity	**1,578,131**	**1,577,246**	**1,780,995**	**1,965,388**	10.4	**2,199,405**	11.9	**2,467,719**	**2,770,148**	**3,114,751**

Cash Flow (Rmbm)	12/22	12/23	12/24	12/25E	%ch	12/26E	%ch	12/27E	12/28E	12/29E
Net income (before pref divs)	188,243	115,216	194,073	222,182	14.5	258,457	16.3	290,182	320,185	352,866
Depreciation & amortisation	61,216	59,008	56,213	61,897	10.1	64,626	4.4	69,772	77,241	88,909
Net change in working capital	(18,472)	19,233	21,881	34,905	59.5	53,832	54.2	60,003	67,356	78,831
Other operating	(84,896)	28,505	(13,646)	22,558	-	18,956	-16.0	20,253	20,999	21,693
Operating cash flow	**146,091**	**221,962**	**258,521**	**341,542**	32.1	**395,871**	15.9	**440,211**	**485,783**	**542,299**
Tangible capital expenditure	(22,679)	(21,008)	(62,927)	(75,278)	-19.6	(92,601)	-23.0	(101,552)	(109,986)	(119,012)
Intangible capital expenditure	(27,645)	(26,042)	(26,394)	(27,714)	-5.0	(29,099)	-5.0	(30,554)	(32,082)	(33,686)
Net (acquisitions) & disposals	(12,267)	(7,633)	(7,847)	0	-	0	-	0	0	0
Other investing	(42,280)	(70,478)	(25,019)	0	-	0	10.0	0	0	0
Investing cash flow	**(104,871)**	**(125,161)**	**(122,187)**	**(102,992)**	15.7	**(121,700)**	-18.2	**(132,107)**	**(142,068)**	**(152,698)**
Equity dividends paid	(12,952)	(20,983)	(28,859)	(42,336)	-46.7	(49,596)	-17.1	(56,582)	(63,212)	(69,472)
Share issues / (buybacks)	(4,738)	16,451	12,482	38,710	210.1	39,186	1.2	42,338	45,265	48,366
Other financing	(48,670)	(87,335)	(145,797)	(112,545)	22.8	(113,021)	-0.4	(116,173)	(119,100)	(122,201)
Change in debt & pref shares	6,407	9,294	(14,320)	0	-	0	-	0	0	0
Financing cash flow	**(59,953)**	**(82,573)**	**(176,494)**	**(116,171)**	34.2	**(123,431)**	-6.2	**(130,417)**	**(137,047)**	**(143,307)**
Cash flow inc/(dec) in cash	**(18,733)**	**14,228**	**(40,160)**	**122,379**	-	**150,741**	23.2	**177,687**	**206,668**	**246,294**
FX / non cash items	28,776	83,595	6,869	0	-100.0	0	-	0	0	0
Balance sheet inc/(dec) in cash	**10,043**	**97,823**	**(33,291)**	**122,379**	-	**150,741**	23.2	**177,687**	**206,668**	**246,294**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts. [1] Cash EPS (UBS, diluted) is calculated using UBS net income adding back depreciation and amortization.

Tencent Holdings (0700.HK)

Valuation (x)	12/22	12/23	12/24	12/25E	12/26E	12/27E	12/28E	12/29E
P/E (local GAAP, diluted)	15.2	25.4	16.1	19.7	16.0	14.2	12.8	11.7
P/E (UBS, diluted)	24.7	18.5	14.0	16.8	13.9	12.4	11.3	10.3
P/CEPS	15.9	13.3	11.0	13.4	11.2	10.1	9.2	8.3
Equity FCF (UBS) yield %	3.5	6.2	5.5	5.4	6.5	7.3	8.2	9.3
Dividend yield (net) %	0.8	1.1	1.4	1.2	1.4	1.6	1.7	1.9
P/BV	3.9	3.5	3.2	3.8	3.1	2.7	2.4	2.0
EV/revenues (core)	4.7	4.4	4.3	5.2	4.5	4.1	3.7	3.4
EV/EBITDA (UBS core)	12.3	10.1	9.3	11.0	9.3	8.3	7.5	6.8
EV/EBIT (core)	17.2	13.0	11.3	13.3	11.0	9.8	8.9	8.1
EV/OpFCF (core)	14.3	11.3	10.2	12.0	10.1	9.0	8.2	7.4
EV/op. invested capital	4.3	4.4	4.2	5.1	4.9	4.8	4.8	4.8

Enterprise value (Rmbm)	12/22	12/23	12/24	12/25E	12/26E	12/27E	12/28E	12/29E
Market cap.	2,739,463	2,835,739	3,095,253	4,213,655	4,213,655	4,213,655	4,213,655	4,213,655
Net debt (cash)	58,670	28,281	(1,859)	(51,405)	(187,964)	(187,964)	(187,964)	(187,964)
Buy out of minorities	65,932	63,280	72,719	83,210	89,777	97,642	106,391	116,039
Pension provisions/other	0	0	0	0	0	0	0	0
Total enterprise value	**2,864,064**	**2,927,300**	**3,166,113**	**4,245,460**	**4,115,467**	**4,123,332**	**4,132,081**	**4,141,730**
Non core assets	(252,715)	(261,665)	(297,415)	(319,291)	(346,932)	(377,336)	(410,781)	(447,570)
Core enterprise value	**2,611,349**	**2,665,635**	**2,868,698**	**3,926,169**	**3,768,536**	**3,745,996**	**3,721,300**	**3,694,159**

Growth (%)	12/22	12/23	12/24	12/25E	12/26E	12/27E	12/28E	12/29E
Revenue	(1.0)	9.8	8.4	14.0	11.8	9.7	8.3	8.2
EBITDA (UBS)	(1.9)	24.3	17.1	15.3	13.5	10.9	9.8	10.4
EBIT (UBS)	(4.9)	35.5	23.4	16.5	15.5	11.5	9.6	9.6
EPS (UBS, diluted)	(6.6)	37.6	44.3	20.2	15.2	11.7	9.9	9.8
Net DPS	49.4	44.7	32.2	20.2	15.2	11.7	9.9	9.8

Margins & Profitability (%)	12/22	12/23	12/24	12/25E	12/26E	12/27E	12/28E	12/29E
Gross profit margin	43.1	48.1	52.9	56.2	56.5	56.7	56.8	57.0
EBITDA margin	38.4	43.5	47.0	47.5	48.2	48.8	49.5	50.5
EBIT (UBS) margin	27.4	33.8	38.4	39.3	40.5	41.2	41.7	42.3
Net earnings (UBS) margin	20.9	25.9	33.7	34.7	35.4	36.0	36.5	37.1
ROIC (EBIT)	25.3	34.3	37.2	38.4	44.1	49.0	53.7	59.5
ROIC post tax	21.7	26.8	30.4	32.5	37.1	41.2	45.1	50.0
ROE (UBS)	15.1	20.6	25.0	24.9	24.7	23.9	22.7	21.7

Capital structure & Coverage (x)	12/22	12/23	12/24	12/25E	12/26E	12/27E	12/28E	12/29E
Net debt / EBITDA	0.3	(0.1)	0.0	(0.3)	(0.6)	(1.0)	(1.3)	(1.6)
Net debt / total equity %	8.9	(1.5)	0.9	(9.3)	(19.0)	(27.6)	(35.3)	(42.5)
Net debt / (net debt + total equity) %	8.2	(1.6)	0.9	(10.3)	(23.5)	(38.2)	(54.6)	(74.0)
Net debt/EV %	2.0	1.0	(0.1)	(1.2)	(4.6)	(8.5)	(13.2)	(18.6)
Capex / depreciation %	79.7	79.9	NM	NM	NM	NM	NM	NM
Capex / revenue %	4.1	3.4	9.5	10.0	11.0	11.0	11.0	11.0
EBIT / net interest	14.5	17.2	23.3	20.7	24.2	27.0	29.6	32.4
Dividend cover (UBS)	5.1	4.8	5.3	5.3	5.3	5.3	5.3	5.3
Div. payout ratio (UBS) %	19.7	20.7	19.0	19.0	19.0	19.0	19.0	19.0

Revenues by division (Rmbm)	12/22	12/23	12/24	12/25E	12/26E	12/27E	12/28E	12/29E
Online games	170,865	179,875	197,668	239,430	258,955	282,463	301,602	322,044
FinTech and Business Services	177,064	203,763	211,956	231,032	256,917	281,452	306,775	334,715
Online advertising	82,729	101,482	121,374	145,336	169,711	193,688	217,590	242,517
Social networks	116,700	118,500	121,500	128,835	147,688	156,619	164,470	172,751
Others	7,194	5,395	7,759	8,147	8,554	8,982	9,431	9,903
Others	0	0	0	(1)	1	(1)	1	(1)
Total	**554,552**	**609,015**	**660,257**	**752,779**	**841,826**	**923,203**	**999,869**	**1,081,929**

EBIT (UBS) by division (Rmbm)	12/22	12/23	12/24	12/25E	12/26E	12/27E	12/28E	12/29E
Others	151,795	205,694	253,815	295,629	341,334	380,593	417,298	457,186
Total	**151,795**	**205,694**	**253,815**	**295,629**	**341,334**	**380,593**	**417,298**	**457,186**

Source: Company accounts, UBS estimates. (UBS) metrics use reported figures which have been adjusted by UBS analysts.

Forecast returns

Forecast price appreciation	50.6%
Forecast dividend yield	1.2%
Forecast stock return	51.8%
Market return assumption	10.9%
Forecast excess return	40.9%

Company Description

Tencent has the largest online community in China. It was founded with the launch of instant messaging platform QQ but has since grown into a diversified internet company with core focuses on gaming, social media and networking (Weixin/WeChat), fintech (WeChat Pay), cloud computing and digital content. The company also holds a substantial investment portfolio of public and private companies.

Valuation Method and Risk Statement

The immediate risk in relation to the subject matter covered by UBS's Global Sustainability Team arises from a lack of definition in the field, reflected in the many names and acronyms in use by practitioners: sustainability; responsible investment (RI); socially responsible investment (SRI); ESG (environmental, social and governance) investment; ethical investing, impact investing, etc. The field covers an enormous range of potential issues and, over time, their importance fluctuates. At the time of writing, we believe the issues raised in this research to be relevant to investors, but this may change. Additionally, this research should not be read as a complete or definitive account of all relevant issues for firms. Although we attempt to address all significant or nascent issues, these may not always be apparent, and these may change over time.

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UBS Global Research publishes a quantitative assessment of its analysts' responses to certain questions about the likelihood of an occurrence of a number of short term factors in a product known as the 'Quantitative Research Review'. The views for this month can be found below. Views contained in this assessment on a particular stock reflect only the views on those short term factors which are a different timeframe to the 12-month timeframe reflected in any equity rating set out in this note. For previous responses please make reference to (i) previous UBS Global Research reports; and (ii) where no applicable research report was published that month, the Quantitative Research Review which can be found at https://neo.ubs.com/quantitative, or contact your UBS sales representative for access to the report or the Quantitative Research Team on ubs-quant-answers@ubs.com. A consolidated report which contains all responses is also available and again you should contact your UBS sales representative for details and pricing or the Quantitative Research Team on the email above.

Tencent Holdings

Question	Response
1. Is the industry structure facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting worse, 3 = no change, 5 = getting better, N/A = no view)	4
2. Is the regulatory/government environment facing the firm likely to improve or deteriorate over the next six months? Rate on a scale of 1-5 (1 = getting tougher 3 = no change, 5 = getting better, N/A = no view)	3
3. Over the last 3-6 months in broad terms have things been improving/no change/getting worse for this stock? Rate on a scale of 1-5 (1 = getting a lot worse, 3 = not much change, 5 = getting a lot better, N/A = no view)	4
4. Relative to the current CONSENSUS EPS forecast, is the next company EPS update likely to lead to: (1 = negative surprise vs consensus, 3 = in-line with consensus, 5 = positive surprise vs consensus expectations, N/A = no view)	4
5. What's driving the difference?	
6. Relative to YOUR current earnings forecast, is there relatively greater risk at the next earnings result of:(1 = downside skew risk to earnings, 3 = equal upside or downside risk to earnings, 5 = upside skew risk to earnings, N/A = no view)	3
7. What's driving the difference?	
8. Is there an upcoming catalyst for the company over the next three months?	No Catalyst
9. Is there an actual or approximate date for the catalyst?	
10. Is the catalyst date an actual or approximate date?	N/A
11. What is the catalyst?	

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UBS Global Research: Global Equity Rating Definitions

12-Month Rating	Definition	Coverage[1]	IB Services[2]
Buy	FSR is > 6% above the MRA.	52%	24%
Neutral	FSR is between -6% and 6% of the MRA.	41%	22%
Sell	FSR is > 6% below the MRA.	7%	25%
Short-Term Rating	**Definition**	**Coverage[3]**	**IB Services[4]**
Buy	Stock price expected to rise within three months from the time the rating was assigned because of a specific catalyst or event.	<1%	<1%
Sell	Stock price expected to fall within three months from the time the rating was assigned because of a specific catalyst or event.	<1%	<1%

Source: UBS. Rating allocations are as of 31 December 2025.
1:Percentage of companies under coverage globally within the 12-month rating category.
2:Percentage of companies within the 12-month rating category for which investment banking (IB) services were provided within the past 12 months.
3:Percentage of companies under coverage globally within the Short-Term rating category.
4:Percentage of companies within the Short-Term rating category for which investment banking (IB) services were provided within the past 12 months.

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UBS AG Hong Kong Branch: Kenneth Fong, Kevin Cheng, Sardonna Fong.**UBS Securities Co. Limited:** Felix Liu.

Company Disclosures

Company Name	Reuters	12-month rating	Price	Price date
Tencent Holdings[16,28]	0700.HK	Buy	HK$518.00	27 Feb 2026

Source: UBS Global Research; LSEG Eikon. All prices as of local market close. Ratings in this table are the most current published ratings prior to this report. They may be more recent than the stock pricing date.
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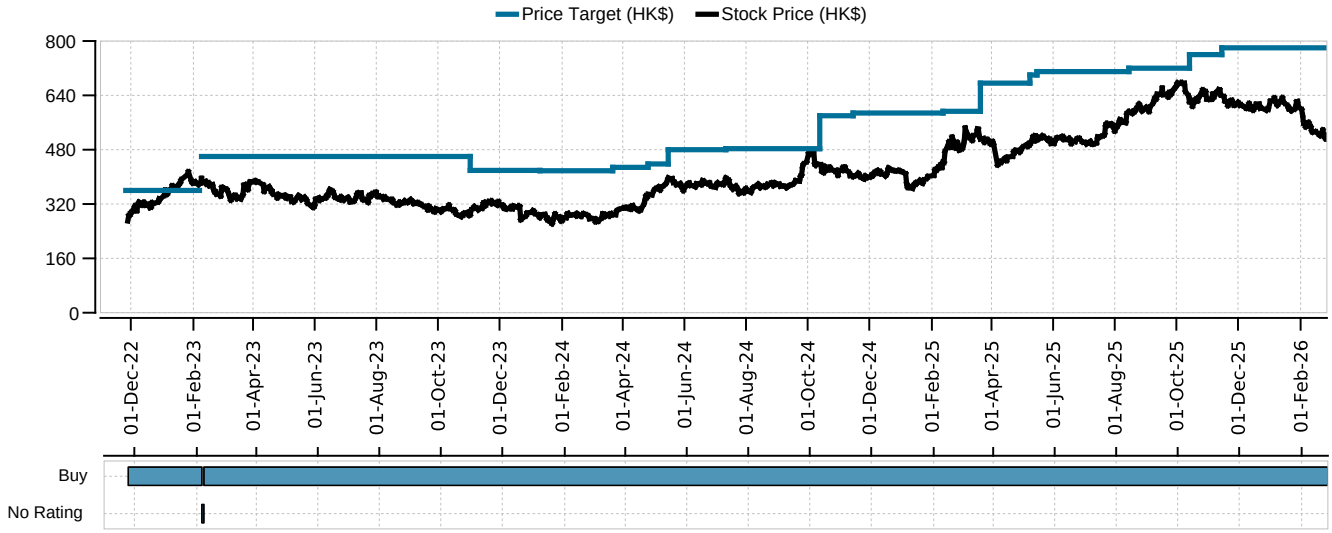
Tencent Holdings (HK$)



Date	Stock Price (HK$)	Price Target (HK$)	Rating
2022-11-25	273.00	360.00	Buy
2023-02-06	376.80	-	No Rating
2023-02-08	382.20	460.00	Buy
2023-11-01	287.00	419.00	Buy
2024-01-09	283.60	418.00	Buy
2024-03-21	291.20	428.00	Buy

Date	Stock Price (HK$)	Price Target (HK$)	Rating
2024-04-25	339.40	438.00	Buy
2024-05-15	381.80	480.00	Buy
2024-07-11	384.80	483.00	Buy
2024-10-12	438.80	580.00	Buy
2024-11-14	403.40	588.00	Buy
2025-02-11	427.40	593.00	Buy
2025-03-20	519.50	676.00	Buy
2025-05-08	498.00	700.00	Buy
2025-05-15	520.00	710.00	Buy
2025-08-14	590.00	720.00	Buy
2025-10-13	639.00	760.00	Buy
2025-11-14	641.00	780.00	Buy

Source: UBS Global Research; LSEG Eikon as of 27-Feb-2026. All prices as of local market close. Ratings as of date shown.

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